

costs 8bps; VT is the Vanguard Total World Stock ETF, which costs 18bps. Insanely cheap; insanely easy; throw away the key. Not an unreasonable approach.

- *More complex solution:* Meb Faber and Eric Richardson in their book *The Ivy Portfolio* hint at a DIY model that utilizes a simple 10-month trend-following rule to run a risk-managed portfolio allocated across US equity, developed equity, REITs, commodities, and US Treasury bonds. These five asset classes are commonly referred to as the “Ivy 5,” and we introduced this concept in [Chapter 6](#).

The Ivy 5 solution is a reasonable solution for a do-it-yourself investor, but the live performance of this strategy has been underwhelming over the past five years (2009–2014). Moreover, this solution—while simple—is a little *too* simple. However, not all is lost—simple still is the key to success, we just need to incorporate some of the lessons we have learned from the previous chapters. We explore what we call the do-it-yourself (DIY) solution that enhances the Ivy 5 model in three ways:

1. We focus on the FACTS framework for our portfolio decisions.
2. We introduce security selection (value and momentum).
3. We enhance the risk-management system (using ROBUST).

The outcome of our robust solution is DIY. The DIY mission is to deliver a low-cost, low-complexity, high-liquidity, diversified, tax-efficient, risk-managed retirement portfolio that is *strong and effective in all or most situations and conditions*. The goal of DIY is a fully integrated retirement solution that a DIY investor can deploy on their own and with minimal interference from the “experts.”

Let's first get started with a review of the Ivy 5 model.

Exploring a Simple Equal-Weight Five Asset Class Model

The Ivy 5 concept is premised on simplifying the asset-allocation problem, which, as a general principle, is backed by empirical evidence. For